SOP: Purchase Order Creation and Approval

Document SOP-PO-002 | Sahyadri Auto Components Pvt Ltd

Purpose

Define who may raise and approve purchase orders, and the checks required before a PO is released to a supplier.

Approval matrix

PO value up to INR 1,00,000: Buyer. Above INR 1,00,000 and up to INR 5,00,000: Purchase Manager. Above INR 5,00,000: Plant Head. The value is the total of all lines on the PO excluding GST. Splitting a PO to stay under a limit is prohibited.

Pre-release checks

Before release confirm that: the supplier is on the approved supplier list; a valid contract exists; the quantity respects MOQ and pack size; the price matches the contract or an approved revision; and the delivery date respects the supplier lead time.

Emergency POs

In a line-stoppage risk the Purchase Manager may give verbal approval. The approval must be confirmed in writing within 4 hours.